Telco Customer Churn

Key Insights & Recommendations — Executive Summary

26.5%	42.7%	45.3%	86.9%
Overall Churn Rate	Month-to-Month Churn	Electronic Check Churn	Model Accuracy (XGBoost)

Key Insights

1. **Contract type is the single biggest churn driver**
Month-to-month customers churn at 42.7%, versus 11.3% for one-year contracts and just 2.8% for two-year contracts — a 15x gap between the extremes.

2. **Support experience matters more than price**
"Attitude of support person" is the #1 cited reason for churn (192 cases), ahead of any competitor pricing or feature offer.

3. **Payment method signals risk**
Electronic check users churn at 45.3%, nearly 3x higher than customers on automatic payment methods (15–19%).

4. **Tenure is protective**
Churn risk is highest in the first few months of the relationship and drops sharply the longer a customer stays subscribed.

5. **Add-on services increase stickiness**
Customers without Online Security or Tech Support churn noticeably more than those with these services active on their account.

6. **Geography is not a real driver**
Churn differences across regions/clusters are not statistically significant (Chi-square p-value = 0.43), so location-based targeting is not warranted.

Recommendations

1. **Incentivize longer contracts**
Offer discounts or added perks to move month-to-month customers into 1- or 2-year plans — the single highest-leverage retention action available.

2. **Invest in customer support training**
Since attitude, not price, is the top complaint, prioritize soft-skills coaching and regular service-quality reviews for the support team.

3. **Target the first 90 days**
Build a dedicated onboarding and early-retention program for new customers, the segment where churn risk peaks.

4. **Investigate the electronic-check segment**
Explore why these customers disengage, and nudge them toward automatic payment methods that correlate with lower churn.

5 **Bundle add-on services**
Promote Online Security and Tech Support as part of entry-level packages to raise the customer's switching cost.

6 **Prioritize by segment, not location**
Focus retention resources on contract type and service usage rather than geographic targeting, which shows no statistical effect on churn.

Explore the full interactive dashboard:

https://app.powerbi.com/links/JyLEMT_EZG?ctid=19fe7ed7-01ca-4ae6-9cb4-3d75b5264420&pbi_source=linkShare